

**Net Income (Loss) for Income Tax Purposes  
(2023 and later tax years)**

|                    |                 |              |       |     |
|--------------------|-----------------|--------------|-------|-----|
| Corporation's name | Business number | Tax year-end |       |     |
|                    |                 | Year         | Month | Day |
|                    |                 |              |       |     |

- Use this schedule to reconcile the corporation's net income (loss) as reported on the financial statements and its net income (loss) for tax purposes. For more information, see Guide T4012, T2 Corporation – Income Tax Guide.
- All legislative references are to the Income Tax Act.
- If you need more space, attach additional schedules.

Net income (loss) after taxes and extraordinary items from line 9999 of Schedule 125 .....                      A

**Add:**

|                                                                               |     |
|-------------------------------------------------------------------------------|-----|
| Provision for income taxes – current . . . . .                                | 101 |
| Provision for income taxes – deferred . . . . .                               | 102 |
| Interest and penalties on taxes . . . . .                                     | 103 |
| Amortization of tangible assets . . . . .                                     | 104 |
| Amortization of natural resource assets . . . . .                             | 105 |
| Amortization of intangible assets . . . . .                                   | 106 |
| Recapture of capital cost allowance from Schedule 8 . . . . .                 | 107 |
| Loss in equity of subsidiaries and affiliates . . . . .                       | 110 |
| Loss on disposal of assets . . . . .                                          | 111 |
| Charitable donations and gifts from Schedule 2 . . . . .                      | 112 |
| Taxable capital gains from Schedule 6 . . . . .                               | 113 |
| Political contributions . . . . .                                             | 114 |
| Holdbacks . . . . .                                                           | 115 |
| Deferred and prepaid expenses . . . . .                                       | 116 |
| Depreciation in inventory – end of year . . . . .                             | 117 |
| Scientific research expenditures deducted per financial statements . . . . .  | 118 |
| Capitalized interest . . . . .                                                | 119 |
| Non-deductible club dues and fees . . . . .                                   | 120 |
| Non-deductible meals and entertainment expenses . . . . .                     | 121 |
| Non-deductible automobile expenses . . . . .                                  | 122 |
| Non-deductible life insurance premiums . . . . .                              | 123 |
| Non-deductible company pension plans . . . . .                                | 124 |
| Other reserves on lines 270 and 275 from Schedule 13 . . . . .                | 125 |
| Reserves from financial statements – balance at the end of the year . . . . . | 126 |
| Soft costs on construction and renovation of buildings . . . . .              | 127 |
| Non-deductible fines and penalties under section 67.6 . . . . .               | 128 |
| Income or loss for tax purposes – partnerships . . . . .                      | 129 |
| Amounts calculated under section 34.2 from Schedule 73 . . . . .              | 130 |
| Income shortfall adjustment and additional amount from Schedule 73 . . . . .  | 131 |
| Income or loss for tax purposes – joint ventures . . . . .                    | 132 |
| Amount D on page 3 . . . . .                                                  | 199 |

**Total** (lines 101 to 199) **500** ▶

Amount A **plus** line 500 ..... B

**Deduct:**

Gain on disposal of assets per financial statements ..... **401** \_\_\_\_\_

Non-taxable dividends under section 83 from Schedule 3 ..... **402** \_\_\_\_\_

Capital cost allowance from Schedule 8 ..... **403** \_\_\_\_\_

Terminal loss from Schedule 8 ..... **404** \_\_\_\_\_

Allowable business investment loss from Schedule 6 ..... **406** \_\_\_\_\_

Foreign non-business tax deduction under subsection 20(12) ..... **407** \_\_\_\_\_

Holdbacks ..... **408** \_\_\_\_\_

Deferred and prepaid expenses ..... **409** \_\_\_\_\_

Depreciation in inventory – end of prior year ..... **410** \_\_\_\_\_

SR&ED expenditures claimed in the year on line 460 from Form T661 ..... **411** \_\_\_\_\_

Other reserves on line 280 from Schedule 13 ..... **413** \_\_\_\_\_

Reserves from financial statements – balance at the beginning of the year ..... **414** \_\_\_\_\_

Patronage dividend deduction from Schedule 16 ..... **416** \_\_\_\_\_

Contributions to deferred income plans from Schedule 15 ..... **417** \_\_\_\_\_

Incorporation expenses under paragraph 20(1)(b) ..... **418** \_\_\_\_\_

Amount E on page 4 ..... **499** \_\_\_\_\_

**Total (lines 401 to 499) 510** \_\_\_\_\_ ► \_\_\_\_\_

**Net income (loss) for income tax purposes** (amount B **minus** line 510) ..... C

Enter amount C on line 300 on page 3 of the T2 return.

**Add:**

|                                                                                                              |     |  |
|--------------------------------------------------------------------------------------------------------------|-----|--|
| Accounts payable and accruals for cash basis – closing                                                       | 201 |  |
| Accounts receivable and prepaid for cash basis – opening                                                     | 202 |  |
| Accrual inventory – opening                                                                                  | 203 |  |
| Accrued dividends – prior year                                                                               | 204 |  |
| Capital items expensed                                                                                       | 206 |  |
| Debt issue expense                                                                                           | 208 |  |
| Deemed dividend income                                                                                       | 209 |  |
| Deemed interest on loans to non-residents                                                                    | 210 |  |
| Deemed interest received                                                                                     | 211 |  |
| Development expenses claimed in current year                                                                 | 212 |  |
| Dividend stop-loss adjustment                                                                                | 213 |  |
| Dividends credited to the investment account                                                                 | 214 |  |
| Exploration expenses claimed in current year                                                                 | 215 |  |
| Financing fees deducted in books                                                                             | 216 |  |
| Foreign accrual property income                                                                              | 217 |  |
| Foreign affiliate property income                                                                            | 218 |  |
| Foreign exchange included in retained earnings                                                               | 219 |  |
| Gain on settlement of debt                                                                                   | 220 |  |
| Interest paid on income debentures                                                                           | 221 |  |
| Limited partnership losses from Schedule 4                                                                   | 222 |  |
| Mandatory inventory adjustment – included in current year                                                    | 224 |  |
| Non-deductible advertising                                                                                   | 226 |  |
| Non-deductible interest                                                                                      | 227 |  |
| Non-deductible legal and accounting fees                                                                     | 228 |  |
| Optional value of inventory – included in current year                                                       | 229 |  |
| Other expenses from financial statements                                                                     | 230 |  |
| Recapture of SR&ED expenditures from Form T661                                                               | 231 |  |
| Resource amounts deducted                                                                                    | 232 |  |
| Restricted farm losses – current year from Schedule 4                                                        | 233 |  |
| Sales tax assessments                                                                                        | 234 |  |
| Share issue expense                                                                                          | 235 |  |
| Write-down of capital property                                                                               | 236 |  |
| Amounts received in respect of qualifying environmental trust per paragraphs 12(1)(z.1) and 12(1)(z.2)       | 237 |  |
| Contractors' completion method adjustment: revenue net of costs on contracts under two years – previous year | 238 |  |
| Taxable/non-deductible other comprehensive income items                                                      | 239 |  |
| Book loss of joint ventures                                                                                  | 248 |  |
| Book loss of partnerships                                                                                    | 249 |  |
| Hybrid mismatch amount under subsection 18.4(4) or 12.7(3)                                                   | 250 |  |
| Excess IFE under subsection 18.2(2) from Schedule 130                                                        | 251 |  |
| Partnership IFE add-back under paragraph 12(1)(l.2) from Schedule 130                                        | 252 |  |
| Non-deductible interest under subsection 18(4)                                                               | 253 |  |
| Partnership interest deduction add-back under paragraph 12(1)(l.1)                                           | 254 |  |

**Other additions:**

| Description              | Amount     |
|--------------------------|------------|
| <b>605</b>               | <b>295</b> |
|                          |            |
|                          |            |
|                          |            |
|                          |            |
| <b>Total of column 2</b> | <b>296</b> |

**Total** of lines 201 to 254 and line 296 ..... **D**

Enter amount D on line 199 on page 1.

**Deduct:**

|                                                                                                                   |            |       |
|-------------------------------------------------------------------------------------------------------------------|------------|-------|
| Accounts payable and accruals for cash basis – opening .....                                                      | <b>300</b> | _____ |
| Accounts receivable and prepaid for cash basis – closing .....                                                    | <b>301</b> | _____ |
| Accrual inventory – closing .....                                                                                 | <b>302</b> | _____ |
| Accrued dividends – current year .....                                                                            | <b>303</b> | _____ |
| Bad debt .....                                                                                                    | <b>304</b> | _____ |
| Equity in income from subsidiaries or affiliates .....                                                            | <b>306</b> | _____ |
| Exempt income under section 81 .....                                                                              | <b>307</b> | _____ |
| Mandatory inventory adjustment – included in prior year .....                                                     | <b>309</b> | _____ |
| Contributions to a qualifying environmental trust .....                                                           | <b>310</b> | _____ |
| Non-Canadian advertising expenses – broadcasting .....                                                            | <b>311</b> | _____ |
| Non-Canadian advertising expenses – printed materials .....                                                       | <b>312</b> | _____ |
| Optional value of inventory – included in prior year .....                                                        | <b>313</b> | _____ |
| Other income from financial statements .....                                                                      | <b>314</b> | _____ |
| Payments made for allocations in proportion to borrowing and bonus interest payments from Schedule 17 .....       | <b>315</b> | _____ |
| Contractors' completion method adjustment: revenue net of costs on contracts under two years – current year ..... | <b>316</b> | _____ |
| Non-taxable/deductible other comprehensive income items .....                                                     | <b>347</b> | _____ |
| Book income of joint venture .....                                                                                | <b>348</b> | _____ |
| Book income of partnership .....                                                                                  | <b>349</b> | _____ |
| Adjustment for hybrid mismatch amount under paragraph 20(1)(yy) .....                                             | <b>350</b> | _____ |

**Resource deductions:**

|                                                                     |            |       |
|---------------------------------------------------------------------|------------|-------|
| Canadian development expenses from Schedule 12 .....                | <b>340</b> | _____ |
| Canadian exploration expenses from Schedule 12 .....                | <b>341</b> | _____ |
| Canadian oil and gas property expenses from Schedule 12 .....       | <b>342</b> | _____ |
| Depletion from Schedule 12 .....                                    | <b>344</b> | _____ |
| Foreign exploration and development expenses from Schedule 12 ..... | <b>345</b> | _____ |

**Other deductions:**

| Description              | Amount     |
|--------------------------|------------|
| <b>705</b>               | <b>395</b> |
|                          |            |
|                          |            |
|                          |            |
|                          |            |
| <b>Total of column 2</b> | <b>396</b> |

**Total** of lines 300 to 350 and line 396 .....                      **E**

Enter amount E at line 499 on page 2.